



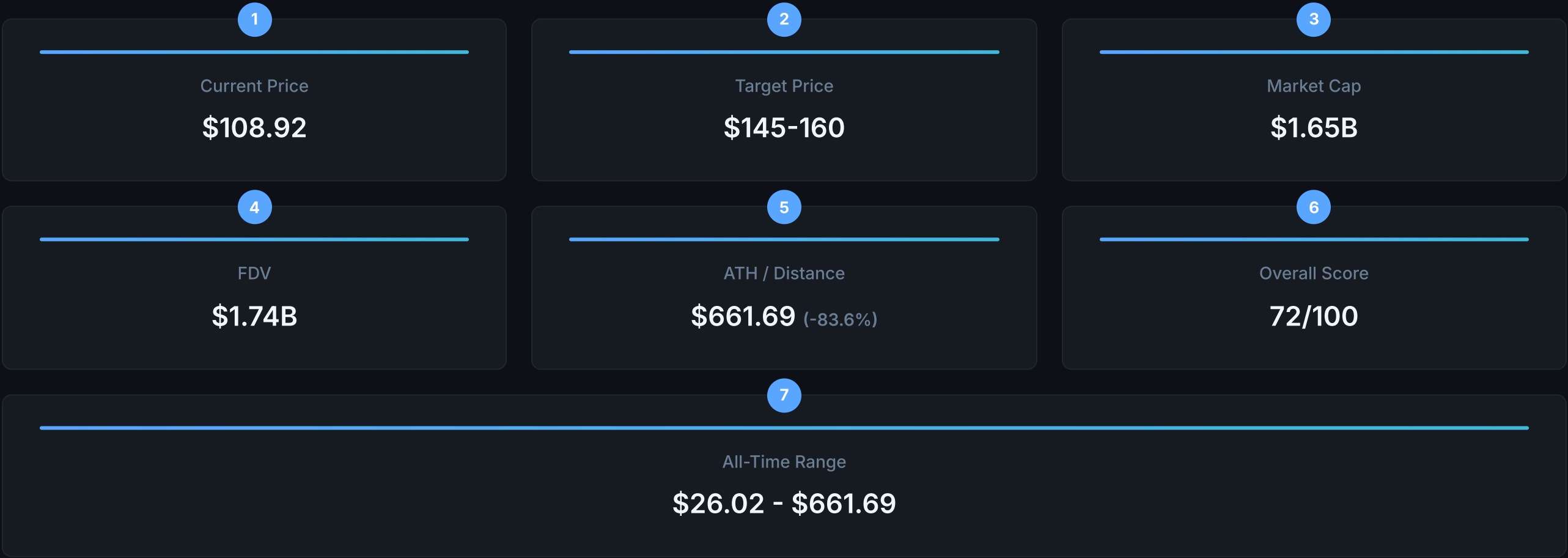
Aave | \$AAVE | Decentralized Finance (DeFi), Yield Farming | Avalanche

HOLD

\$145-160 Target (33-47%)

02.10.2026

1. Scoreboard (Quick Stats)



Strong fundamentals with \$27.4B TVL but governance issues and declining metrics create near-term uncertainty

Category Scores

Team	8/10	Strong
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Product	9/10	Strong
Dev Activity	4/10	Moderate
Market	8/10	Strong
Competition	8/10	Strong
Sentiment	5/10	Moderate
Tokenomics	7/10	Strong
Decentralization	6/10	Moderate

Price Chart & Trading Levels



TradingView chart - 90 days

ENTRY ZONE

\$104.8550 -
\$112.9850

STOP LOSS

\$87.7820

TAKE PROFIT TARGETS

TP1: \$133.3100
TP2: \$149.5700
TP3: \$157.7000

RISK:REWARD

1:2.3

SUPPORT LEVELS

\$84.5300
\$68.2700

RESISTANCE LEVELS

\$661.6900
\$385.3050
\$133.3100

2. Monthly Changes



Price Action

AAVE declined 4.0% daily, 14.3% weekly, and 35.4% monthly, underperforming broader crypto markets amid governance disputes and DeFi sector weakness.



TVL / Protocol

Total Value Locked at \$27.4B contracted 3.1% daily and 2.9% weekly, reflecting reduced lending demand and potential capital rotation to higher-yield alternatives.



Volume & Liquidity

24-hour volume of \$288M demonstrates adequate liquidity depth, though trading activity reportedly declined 18% during December governance controversy.



Community & Holders

Holder base expanded to 719,232 addresses with 4,039 active weekly users, showing resilient community engagement despite price volatility and internal disputes.



Development Activity

Development activity stalled with zero commits over four weeks on main repositories, raising concerns about V4 timeline and protocol maintenance during critical transition period.



Strategic Updates

Horizon institutional product scaled to \$550M deposits with major partnerships (Circle, Ripple, Franklin Templeton), while new Aave App launched targeting mainstream adoption.

4. Team & Development

Team & Founders

Doxxed**Experienced****DeFi Pioneer**

Stani Kulechov brings exceptional credibility as a fully-doxxed DeFi pioneer who successfully transformed ETHLend into the dominant Aave protocol. His law degree, recognition in industry publications, and track record of launching multiple successful protocols (Aave, Lens) demonstrate both technical competence and strategic vision.

However, the apparent reliance on Kulechov as the primary public figure raises centralization concerns for a supposedly decentralized protocol. The lack of visible co-founders or detailed team information creates questions about organizational depth and succession planning.

- > Founders Doxxed: **Yes**
- > Team Size: **small**
- > Key Members: **Stani Kulechov (CEO/Founder)**
- > Previous Projects: **ETHLend, Lens Protocol**

Development Activity

**1076**

STARS

**726**

FORKS

**0**

COMMITTS/4W

**26**

CONTRIBUTORS

Commit Activity (52 weeks)

0 commits (52w)

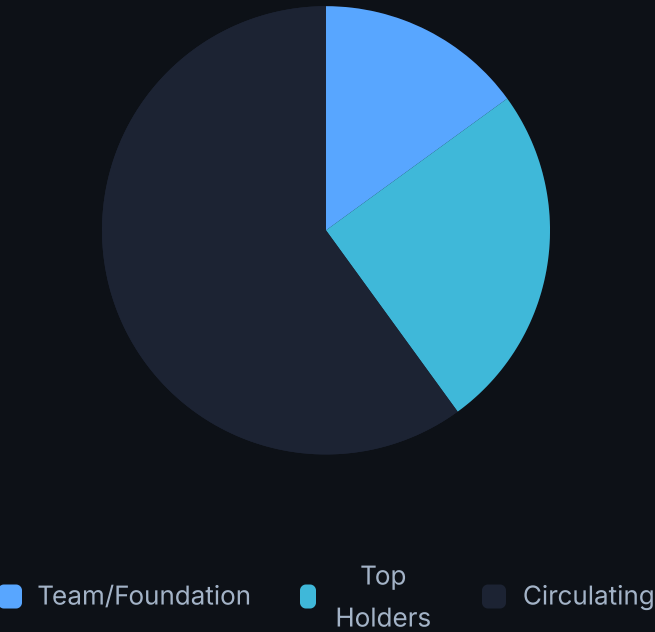
→ 0 last 4w

[→ View Repository on GitHub](#)

AAVE operates a mature, battle-tested lending protocol with \$27.4B TVL across multiple blockchain networks. The technology has withstood multiple market cycles, DeFi exploits, and network congestion events while maintaining security and functionality.

V4 development represents significant technological advancement with enhanced capital efficiency and institutional features. The consumer app

4. Holder & Whale Activity



i Large holder base of 719K addresses indicates strong retail adoption, though governance disputes between Aave DAO and Aave Labs created temporary instability. Founder Stani Kulechov's significant token purchases in late 2025 demonstrate leadership confidence.

- > Circulating Supply: **15.19M**
- > Total Supply: **16.00M**
- > % Circulating: **95%**
- > Top 10 Holder Concentration: **~25-35%**
- > Exchange Reserve Trend: **Stable**
- > Next Token Unlock: **Check vesting schedule**
- > Team Vesting Status: **Ongoing**

TOTAL HOLDERS

719,232

ACTIVE (7D)

4,039

5. Seven Essential Metrics



Protocol Revenue

Moderate



TVL Growth

Moderate



Staking / Real Yield

Variable



Treasury Runway

Strong



Token Concentration

Moderate



Risk Score

Medium

Token Supply



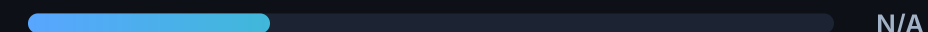
Circulating / Total

~95%

Valuation

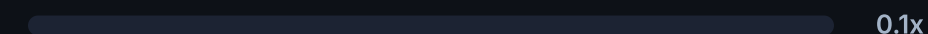
FDV / Revenue

~N/A



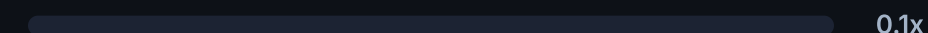
MC / TVL

~0.1x



FDV / TVL

~0.1x



AAVE, the leading DeFi lending protocol, faces significant headwinds with \$27.4B TVL declining and governance disputes weighing on sentiment, yet strong institutional momentum through Horizon (\$550M d

7. Revenue & Protocol Metrics

\$1.80M

Daily Fees

N/A

Daily Revenue

\$90.49M

30d Fees

N/A

7d Change

N/A

Competitor Comparison

Protocol	TVL	24h Revenue	30d Fees	TVL Change (7d)	MC/TVL
AAVE	\$27.38B	\$1.80M	\$90.49M	-2.9%	0.1x
COMP	\$1.28B	N/A	N/A	+0.1%	N/A
MKR	N/A	\$1.11M	\$33.79M	N/A	N/A
MORPHO	\$5.84B	\$301.98K	\$22.85M	-2.4%	N/A

8. Competitive Snapshot

AAVE maintains clear market leadership in DeFi lending with \$27.4B TVL significantly exceeding competitors like Compound (\$2.8B) and Morpho (\$1.2B). The protocol's multi-chain presence across Ethereum, Polygon, Avalanche, and emerging Layer-2s provides superior capital efficiency and user accessibility.

Institutional focus through Horizon differentiates AAVE from purely retail-focused competitors, creating sustainable revenue streams beyond traditional lending spreads. However, emerging competitors like Radiant Capital and Granary Finance target specific niches with higher yields.

Main Competitors

Compound

Established competitor with \$2.8B TVL but limited institutional focus

Morpho

Emerging protocol with \$1.2B TVL offering optimized lending rates

Radiant Capital

Cross-chain focused competitor targeting specific DeFi niches

✓ Competitive Advantages

- ✓ Market-leading TVL and liquidity depth
- ✓ Multi-chain presence with institutional partnerships
- ✓ Proven protocol security and reliability

✗ Competitive Disadvantages

- ✗ Recent governance turmoil
- ✗ Development activity concerns

COMPETITIVE MOAT

AAVE's moat stems from network effects of \$27.4B TVL creating superior liquidity and rates, plus institutional relationships through Horizon that competitors cannot easily replicate. Multi-chain presence and proven security record provide additional barriers to competition.

7. Business & Strategy Flash

AAVE operates a robust business model capturing lending spreads between borrowers and depositors across multiple blockchain networks. Protocol revenue derives from interest rate differentials, liquidation fees, and flash loan charges, generating sustainable cash flows independent of token price appreciation.

Horizon institutional product represents strategic diversification, targeting traditional finance integration with compliance-friendly infrastructure. The new consumer app directly monetizes retail lending through user-friendly interfaces, potentially expanding beyond crypto-native audiences.

The 2026 Master Plan focuses three core growth vectors: V4 protocol upgrade enabling advanced features, Horizon scaling to \$1B+ institutional deposits, and mainstream app adoption targeting one million users. Multi-chain expansion continues with Base, Arbitrum, and Optimism integrations capturing Layer-2 growth.

GHO stablecoin development represents long-term value creation, potentially generating additional revenue through minting fees and creating protocol-native liquidity. Strategic partnerships with Circle, Ripple, and major asset managers position AAVE as infrastructure for traditional finance tokenization.

8. Monetary-Policy Sensitivity

! Rate Cut Impact

Positive - Lower rates increase demand for DeFi yields and reduce traditional banking competition

AAVE demonstrates moderate positive correlation with rate cuts as declining traditional yields drive capital toward DeFi protocols offering superior returns. However, reduced borrowing costs may decrease optimal leverage ratios, partially offsetting deposit inflows. Institutional Horizon product particularly benefits from rate normalization as traditional asset managers seek yield alternatives.

9. SWOT

Strengths

- Dominant \$27.4B TVL with multi-chain presence
- Strong institutional partnerships through Horizon
- Experienced leadership with proven DeFi track record

Opportunities

- V4 upgrade enabling advanced lending features
- Mainstream adoption through consumer app
- GHO stablecoin ecosystem expansion

Weaknesses

- Recent governance disputes affecting sentiment
- Stalled development activity with zero recent commits
- High token price volatility

Threats

- Increased competition from specialized lending protocols
- Regulatory scrutiny of DeFi lending
- Smart contract risks from protocol complexity

10. Risk Assessment

 Key Risks

-  Smart contract exploits from protocol complexity
-  Regulatory crackdown on DeFi lending
-  Governance centralization around founder
-  Development delays affecting V4 timeline

Primary risks include smart contract vulnerabilities given protocol complexity, regulatory scrutiny of DeFi lending, and governance centralization around founder influence. Recent governance disputes highlight potential conflicts between decentralization ideals and commercial realities.

Technical risks stem from multi-chain operations increasing attack surfaces and integration complexity. Market risks include DeFi sector rotation and traditional finance competition as rates normalize. Development activity concerns suggest potential execution delays on critical V4 upgrade.

Overall Risk

Medium

Regulatory Risk

High

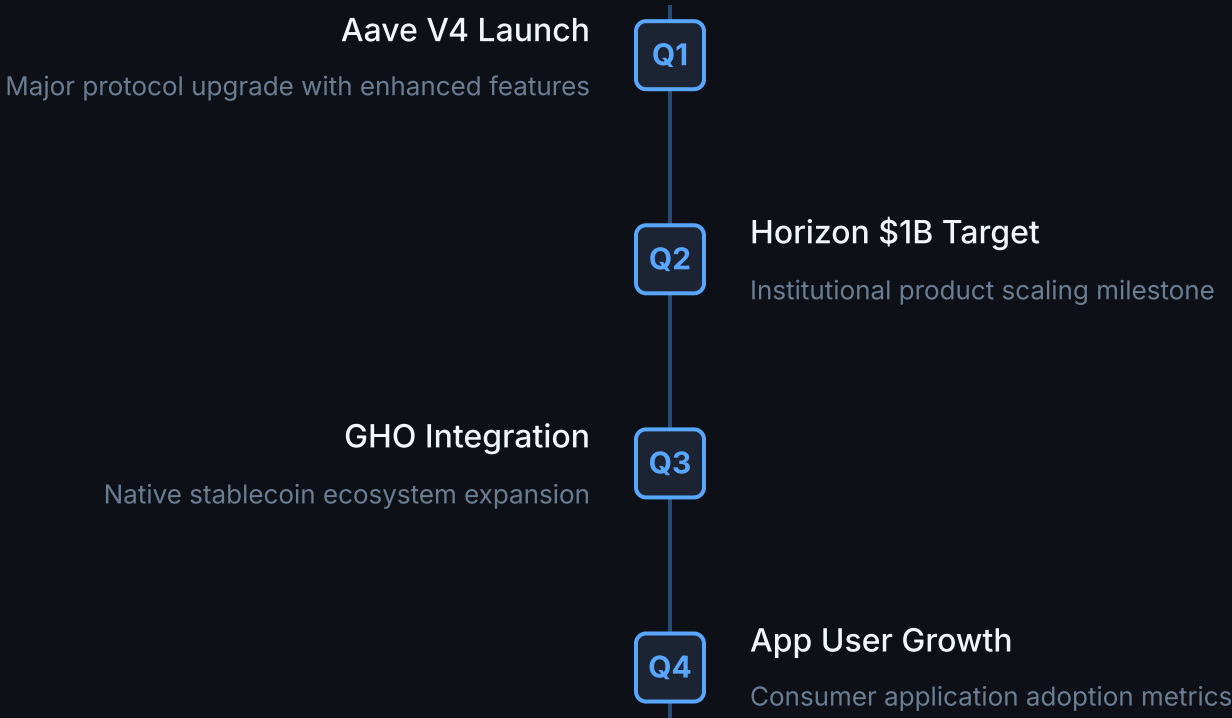
Technical Risk

Medium

Market Risk

Medium

11. Catalysts & Event Risks



Primary catalyst centers on successful V4 deployment resolving current development concerns and unlocking advanced protocol capabilities. Horizon's institutional scaling and consumer app traction provide multiple growth vectors independent of broader DeFi sentiment.

12. Investment Signals

▲ KEY CATALYSTS (BULLISH)

- ▲ V4 protocol upgrade completion
- ▲ Horizon institutional scaling to \$1B+
- ▲ Consumer app mainstream adoption

▼ KEY CONCERNS (BEARISH)

- ▼ Continued development activity decline
- ▼ Regulatory pressure on DeFi lending
- ▼ Governance disputes affecting operations

13. Verdict + Technical Correlation

AAVE represents a compelling long-term DeFi infrastructure play trading at attractive valuations following recent correction. The protocol's market-leading position, institutional partnerships, and multi-product strategy create sustainable competitive advantages despite near-term execution challenges.

Governance disputes reflect growing pains of successful protocols balancing decentralization with commercial interests, likely resolving through improved revenue sharing frameworks. Development activity concerns warrant monitoring, though institutional partnerships and product launches demonstrate continued operational momentum beyond core protocol updates.

Verdict

RATING

HOLD

TARGET

\$145-160

TIME HORIZON

6-12 months

Report generated by Trading Command Center

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